

Contestant Number: _____

Time: _____

Rank: _____



COLLEGE PAYROLL ACCOUNTING (130)

—Post-secondary—

STATE – 2020

Multiple Choice (20 @ 2 points each) _____ (40 points)

Short Answer Questions: Calculations _____ (36 points)

Problem Section:

Problem 1: Form 940 _____ (28 points)

Problem 2: Payroll Register _____ (57 points)

Problem 3: Payroll Register & Journal Entries _____ (71 points)

TOTAL POINTS _____ (232 points)

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

No more than ten (10) minutes orientation
No more than ninety (90) minutes testing time
No more than ten (10) minutes wrap-up

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Workplace Skills Assessment Program competition.

General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts. The multiple choice and short answer questions should be completed first, and then the accounting problems may be completed in any order.

Your name and/or school name should NOT appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Calculate all calculations to four (4) decimals, then round to the nearest cent.
- 2019 Payroll Tax Rules Apply
- Social Security (OASDI): 6.2% on the first \$132,900
- Medicare (HI): 1.45%
- FUTA: .6% on first \$7,000 of employee wages
- SUTA: Information is in each question

Multiple Choice: (40 points, 2 each) Choose the letter which best answers the question or completes the sentence.

1. Which transaction is not a type of payroll accounting entry?
 - a. Standard Entry
 - b. Tax Withholding Entry
 - c. Payroll Tax Entry
 - d. Wage Entry
2. Employers must deposit on the following schedule if their payroll tax obligation is \$100,00 or more:
 - a. Weekly
 - b. Semi-weekly
 - c. Monthly
 - d. None of the above
3. Tip credit is reported on:
 - a. Form 941
 - b. Form 8846
 - c. Form W-2
 - d. Form 940
4. Wages are:
 - a. The pay earned by piece-rate employees
 - b. The pay earned by salary-paid employees
 - c. The pay earned by hourly-paid employees
 - d. All of the above
 - e. Only a & c
5. The form where an employee reports the number of allowances to be used in calculating the amount of federal income tax to be withheld is
 - a. Form W-2
 - b. Form I-9
 - c. Form W-4
 - d. Form 941
6. Payroll taxes levied by the city or county are called
 - a. Garnishment
 - b. Commissions
 - c. Deferred Taxes
 - d. Local Taxes
7. A tax paid by the employer that is 0.6% of the employees first \$7,000 of annual salary or wages is called:
 - a. FUTA
 - b. FIT
 - c. SWT
 - d. SUTA

8. The combination of Social Security Tax and Medicare Tax is referred to by an acronym:
 - a. FUTA
 - b. OASDI
 - c. SSHI
 - d. FICA

9. The Employment Eligibility Form is called:
 - a. Form W-4
 - b. Form I-9
 - c. Form 944
 - d. Form 940

10. Abby Lincoln is paid a salary of \$48,950 Semi-monthly, what is her gross pay each pay period?
 - a. \$1,882.69
 - b. \$2,039.58
 - c. \$941.35
 - d. \$4,079.17

11. Lyndie Johnson is paid a salary of \$62,950 Semi-monthly, and contributes 10% of her salary to her 401(K), what is her gross pay each pay period?
 - a. \$2,421.15
 - b. \$2,179.04
 - c. \$2,622.92
 - d. \$2,560.63

12. Rebecca Jefferson is a full time student paid and works in a retail clothing store. Her minimum wage could be calculated at:
 - a. \$7.50 per hour
 - b. \$7.25 per hour
 - c. \$2.13 per hour
 - d. \$4.25 per hour

13. Jamie Madison is a 16 year old high school student who was hired 10 days ago. Her minimum wage is:
 - a. \$7.30 per hour
 - b. \$6.16 per hour
 - c. \$2.13 per hour
 - d. \$7.25 per hour

14. The Fair Labor and Standards Act guarantee pay for the following:
 - a. Holiday Pay
 - b. Vacation Pay
 - c. Overtime Pay
 - d. All of the above

15. The IRS Safe Harbor Rule allows payroll tax depositors to deposit a shortfall of _____ without a penalty.
- a. \$250 or 2.5%
 - b. \$250 or 2%
 - c. \$100 or 2.5%
 - d. \$100 or 2%
16. The Tax Liability Report for semi-weekly depositors is
- a. Form W-4
 - b. Form I-9
 - c. Form 941
 - d. Form 940
17. Under the Affordable Care Act, which rate goes up .9% when a single taxpayer earns over \$200,000?
- a. SSI
 - b. HI
 - c. FIT
 - d. none of the above
18. When are tips not taxable for OASDI/HI purposes?
- a. Tips shared with other staff
 - b. Tips while receiving Holiday Pay
 - c. Tips less than \$20 per month
 - d. Tip share while on Vacation Pay
19. Remuneration paid every twice a month is called
- a. Semi-monthly
 - b. Bi-weekly
 - c. Bi-monthly
 - d. Semi-annual
20. What is the taxable limitation for OASDI on wages for 2019
- a. \$121,200
 - b. \$124,400
 - c. \$132,900
 - d. \$200,000

Short Answer Questions: (36 points)

1. Marsha Van Buren earns an annual salary of \$73,215 for a 40 hour work week. Complete the following gross pay chart: (4 points each)

Monthly	Semi-monthly	Bi-weekly	Weekly	Hourly Rate	Overtime Rate

2. Jenny Quincy Adams worked 42.25 hours on a weekly payroll job including an 8 hour shift on a holiday; her rate of pay is \$17.25 per hour. If the company she works for uses the Overtime Premium method and pays double time for holidays, answer the following questions regarding Jenny's weekly pay? (2 points each)

Regular Earnings \$ _____

Holiday Earnings \$ _____

Overtime Earnings \$ _____

Total Earnings \$ _____

3. Greta Cleveland earns an hourly wage of \$9 per hour and a 10% shift differential for working late evenings (after 10 pm). If she works the following hours, with a one hour lunch break from 7pm-8pm, what was her gross pay? (8 points)

Monday	Tuesday	Wednesday	Thursday	Friday
3pm-12am	3pm-12:30am	3pm-12am	3pm-12am	3pm-12:15am

\$ _____

4. Donna Eisenhower earns a salary plus bonus commission on sales and is paid weekly. Her regular salary is \$685 per week. She earns an extra 4.6% on all net sales over \$1,750 per pay period. During this pay period she had the following sales and merchandise returns. (3 points each)

Sales \$ 2,478 Sales Returns \$ 361

Answer the following questions regarding Donna's gross pay for this pay period.

Regular Wages \$ _____

Sales Subject to Commission..... \$ _____

Commission Earnings \$ _____

Total Earnings \$ _____

Problems:

1. Use the following information to complete the Form 940 for the Monument City Tour Company located at 555 President Street, Baltimore, Maryland, 11111. MCT's Federal ID number is 12-3456789 and are not subject to a credit reduction. MCT has the following wages paid in 2018 and did not deposit any FUTA tax during the year. (28 points, 2 points each)

Employee #1	Employee #2	Employee #3	Employee #4	Employee #5
\$43,988.50	\$68,654.21	\$74,523.55	\$55,655.44	\$63,857.36

Form **940 for 2018: Employer's Annual Federal Unemployment (FUTA) Tax Return** 850113
Department of the Treasury — Internal Revenue Service OMB No. 1545-0028

Employer identification number (EIN) -
Name (not your trade name)
Trade name (if any)
Address
Number Street Suite or room number
City State ZIP code
Foreign country name Foreign province/country Foreign postal code

Type of Return
(Check all that apply.)
☐ a. Amended
☐ b. Successor employer
☐ c. No payments to employees in 2018
☐ d. Final: Business closed or stopped paying wages
Go to www.irs.gov/Form940 for instructions and the latest information.

Read the separate instructions before you complete this form. Please type or print within the boxes.

Part 1: Tell us about your return. If any line does NOT apply, leave it blank. See instructions before completing Part 1.

1a If you had to pay state unemployment tax in one state only, enter the state abbreviation . 1a
1b If you had to pay state unemployment tax in more than one state, you are a multi-state employer . 1b ☐ Check here. Complete Schedule A (Form 940).
2 If you paid wages in a state that is subject to CREDIT REDUCTION . 2 ☐ Check here. Complete Schedule A (Form 940).

Part 2: Determine your FUTA tax before adjustments. If any line does NOT apply, leave it blank.

3 Total payments to all employees . 3
4 Payments exempt from FUTA tax . 4
Check all that apply: 4a ☐ Fringe benefits 4c ☐ Retirement/Pension 4e ☐ Other
4b ☐ Group-term life insurance 4d ☐ Dependent care
5 Total of payments made to each employee in excess of \$7,000 . 5
6 Subtotal (line 4 + line 5 = line 6) . 6
7 Total taxable FUTA wages (line 3 - line 6 = line 7). See instructions. . 7
8 FUTA tax before adjustments (line 7 x 0.006 = line 8) . 8

Part 3: Determine your adjustments. If any line does NOT apply, leave it blank.

9 If ALL of the taxable FUTA wages you paid were excluded from state unemployment tax, multiply line 7 by 0.054 (line 7 x 0.054 = line 9). Go to line 12 . 9
10 If SOME of the taxable FUTA wages you paid were excluded from state unemployment tax, OR you paid ANY state unemployment tax late (after the due date for filing Form 940), complete the worksheet in the instructions. Enter the amount from line 7 of the worksheet . 10
11 If credit reduction applies, enter the total from Schedule A (Form 940) . 11

Part 4: Determine your FUTA tax and balance due or overpayment. If any line does NOT apply, leave it blank.

12 Total FUTA tax after adjustments (lines 8 + 9 + 10 + 11 = line 12) . 12
13 FUTA tax deposited for the year, including any overpayment applied from a prior year . 13
14 Balance due. If line 12 is more than line 13, enter the excess on line 14.
• If line 14 is more than \$500, you must deposit your tax.
• If line 14 is \$500 or less, you may pay with this return. See instructions . 14
15 Overpayment. If line 13 is more than line 12, enter the excess on line 15 and check a box below . 15
▶ You MUST complete both pages of this form and SIGN it. Check one: ☐ Apply to next return. ☐ Send a refund.

Next

2. (57 points, 1 each)

Complete the following Payroll Register for Smithsonian Corporation. All employees are paid by the hour, assume all employees are Single, have 0 withholding allowances, and are paid weekly. **Use the provided withholding tables to find the FIT withholding.**

Payroll Register											
NAME	Reg.	Reg.	OT	OT	Total			Deductions			Net Pay
	Hours	Rate	Hours	Rate	Wages	OASDI	HI	FIT	Pre-tax Group Ins.	401K	
Harry	39	12.56									
Franklin	37	13.24							15.00	15.00	
Herbert	35.75	11.80									
Dwight	40	11.67	2.25						15.00	55.00	
Lyndon	38.5	10.42							15.00		
George	40	9.25	1.75						15.00	20.00	
Jimmy	32.25	9.88									
Ronald	34	10.35								15.00	
TOTALS		XXX		XXX							

3. (71 points, 1 each payroll register; 2 points each on journal entries)

Complete and total the Payroll Register and journalize the payroll and employer's taxes using Freedom Bell's Payroll Register below. This is the first payroll of the year. All employees are paid by the hour weekly. The pay period ends on 1/4/18 and the pay date is 1/11/18. The SUTA rate is 3.65%.

Use the provided withholding tables to find the FIT withholding.

Payroll Register											
NAME	Reg.	Reg.	OT	OT	Total	Deductions					Net Pay
	Hours	Rate	Hours	Rate	Wages	OASDI	HI	Allowances	FIT	Post-tax Group Ins.	401K
Barbara	39	12.62		18.93	492.18	30.52	7.14	S/2		12.00	15.00
Hillary	40	11.85		17.78	474.00	29.39	6.87	S/3		12.00	45.00
Michelle	40	12.25	5	18.38	581.90	36.08	8.44	S/4		12.00	25.00
TOTALS		XXX		XXX				XXX			

SINGLE Persons—WEEKLY Payroll Period

(For Wages Paid through December 2019)

And the wages are—		And the number of withholding allowances claimed is—										
At least	But less than	0	1	2	3	4	5	6	7	8	9	10
The amount of income tax to be withheld is—												
\$ 0	\$73	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
73	84	1	0	0	0	0	0	0	0	0	0	0
84	95	2	0	0	0	0	0	0	0	0	0	0
95	106	3	0	0	0	0	0	0	0	0	0	0
106	117	4	0	0	0	0	0	0	0	0	0	0
117	128	5	0	0	0	0	0	0	0	0	0	0
128	139	6	0	0	0	0	0	0	0	0	0	0
139	150	7	0	0	0	0	0	0	0	0	0	0
150	161	8	0	0	0	0	0	0	0	0	0	0
161	172	9	1	0	0	0	0	0	0	0	0	0
172	183	10	2	0	0	0	0	0	0	0	0	0
183	194	12	3	0	0	0	0	0	0	0	0	0
194	205	13	5	0	0	0	0	0	0	0	0	0
205	216	14	6	0	0	0	0	0	0	0	0	0
216	227	15	7	0	0	0	0	0	0	0	0	0
227	238	16	8	0	0	0	0	0	0	0	0	0
238	249	17	9	1	0	0	0	0	0	0	0	0
249	260	18	10	2	0	0	0	0	0	0	0	0
260	271	19	11	3	0	0	0	0	0	0	0	0
271	282	21	12	4	0	0	0	0	0	0	0	0
282	293	22	13	5	0	0	0	0	0	0	0	0
293	304	23	14	6	0	0	0	0	0	0	0	0
304	315	25	16	7	0	0	0	0	0	0	0	0
315	326	26	17	9	1	0	0	0	0	0	0	0
326	337	27	18	10	2	0	0	0	0	0	0	0
337	348	29	19	11	3	0	0	0	0	0	0	0
348	359	30	20	12	4	0	0	0	0	0	0	0
359	370	31	22	13	5	0	0	0	0	0	0	0
370	381	33	23	14	6	0	0	0	0	0	0	0
381	392	34	24	15	7	0	0	0	0	0	0	0
392	403	35	26	16	8	0	0	0	0	0	0	0
403	414	37	27	17	9	1	0	0	0	0	0	0
414	425	38	28	18	10	2	0	0	0	0	0	0
425	436	39	29	20	12	3	0	0	0	0	0	0
436	447	40	31	21	13	5	0	0	0	0	0	0
447	458	42	32	22	14	6	0	0	0	0	0	0
458	469	43	33	24	15	7	0	0	0	0	0	0
469	480	44	35	25	16	8	0	0	0	0	0	0
480	491	46	36	26	17	9	1	0	0	0	0	0
491	502	47	37	28	18	10	2	0	0	0	0	0
502	513	48	39	29	19	11	3	0	0	0	0	0
513	524	50	40	30	21	12	4	0	0	0	0	0
524	535	51	41	32	22	13	5	0	0	0	0	0
535	546	52	43	33	23	14	6	0	0	0	0	0
546	557	54	44	34	25	16	7	0	0	0	0	0